Ford Motor Company

CONTINENTAL TIRE RECALL

September 2002

TO: All Ford and Lincoln Mercury Dealers

SUBJECT: Continental Tire Recall 02B01: Supplement #6 – Tire Replacement Clarification
- Clarification of Correct Replacement Tires (See Q&A, #16)
- Affected Vehicle and Tire Replacement Clarification (See page three and Attachment II of this bulletin.)

RE: Continental Tire Recall 02B01 – Certain 2000 and 2001 MY Expedition and Navigator 4x2 Vehicles with Continental ContiTrac AW or General Grabber AW P275/60 R17 Tires

REF: Dealer Announcement dated 10/26/01, Special Handling Procedure

OASIS: Yes
OWNER LIST: Yes
PARTS RETURN: No
PROGRAM TERMS: ·Replacement tires may be installed at no charge if performed prior to April 1, 2003

PURPOSE OF THIS SUPPLEMENT

This supplement clarifies questions relating to proper tire replacements. It is important to emphasize that only approved tires are used for replacements.

Also, if only one tire on a vehicle is affected, you will need to replace the opposing tire on the same axle. However, if one (1) front and one (1) rear tire is affected, you would not automatically replace all four (4) tires. Instead, you would replace only two (2) tires and install the new tires on the same axle.

AFFECTED TIRES AND VEHICLES

Continental Tire North America recently announced a voluntary safety recall of P275/60 R17 General Grabber AW and ContiTrac AW tires produced from March 1999 through October 2000. Both original equipment (OE) and replacement tires are affected. Certain 2000 and 2001 Expedition and Lincoln Navigator 4x2 vehicles produced at Michigan Truck were originally equipped with the affected tires from the beginning of production of 2000 model year through December 31, 2000.

IMPORTANT FACTS

- This is a Continental Tire North America tire safety recall. Ford has assigned a "B" program number merely for administrative purposes to allow Ford and Lincoln Dealers to assist Continental in the replacement of affected tires.
- Continental Tire North America will notify customers of the recall via first class mail.
- All P275/60R-17 General Grabber AW and Continental ContiTrac AW tires with DOT build date codes of 109 to 4400 are potentially involved and must be replaced.
- All other Continental or General tires ARE NOT involved.

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- Potentially 107, 000 vehicles are affected. 2000 and early production 2001 Expedition and Navigator vehicles were equipped with P275/60 R17 General Grabber AW and ContiTrac AW tires.
- Lincoln Mercury dealers and Ford AtW/Ford Tire Program dealers will be authorized to replace tires under the program.
- Non-AtW/Ford Tire Program Ford and Lincoln dealers will be authorized to sublet tire mounting and balancing per instructions.

SPECIAL HANDLING PROCEDURE

The Special Handling Procedure has been activated for all Lincoln Navigator owners affected by this program. Please see dealer announcement dated 10/26/01, Special Handling Procedure. This special handling procedure provides additional allowance to enable dealers to offer owners convenient vehicle handling.

Lincoln Mercury is asking for your support and the cooperation of your sales and service teams to make this a positive experience for our Lincoln Navigator customers, many of whom are new to the Lincoln family.

SERVICE PROCEDURE

- Inspect affected 4x2 Expedition and Navigator vehicles equipped with General Grabber AW and ContiTrac AW P275/60 R17 tires.
- ONLY General Grabber AW and ContiTrac AW P275/60 R17 tires for DOT build date codes of 109 to 4400 will require replacement.
- All other Continental and General tires ARE NOT involved.

NOTE: All replacement tires for the affected vehicles (including P265/70 R17) should be inflated to:

FRONT: 26 PSI (179 kPa)
REAR: 33 PSI (228 kPa)

Original Equipment (OE) and Replacement Tires Included

Both original equipment and replacement tires listed under the "AFFECTED TIRES AND VEHICLES" header are subject to replacement under the Continental Tire North America Tire recall.

Spare Tires

Affected tires were installed as spare tires; 17-inch spare tires must also be inspected and replaced, if necessary.

Does Current Tire Condition Affect Replacement Procedure?

All affected tires should be replaced regardless of the mileage or the remaining tread on the tire. If the customer caused damage to the tires, i.e. hit a curb, accident, under inflation, alignment issues, the tire should still be replaced. If the tire is worn out, it should still be replaced.

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What if the Vehicle has a Mix of Affected and Non-Affected Tires?

After the service has been performed, all five (5) tires installed on the vehicle must be of the same size.

- If the replacement tire(s) is different size than the other non-affected tires on the vehicle, you must replace all five tires.
- If only one tire on a vehicle is affected, you will need to replace the opposing tire on the same axle. However, if one (1) front and one (1) rear tire is affected, you would not automatically replace all four (4) tires. Instead, you would replace only two (2) tires and install the new tires on the same axle.

May a Customer Upgrade Their Tires?

No. Ford Motor Company will only pay for new replacement tire(s) that are on the approved Ford list.

TIRE RECYCLING PROCESS (See Attachment III)

REPLACEMENT TIRE DEMAND AND AVAILABILITY

We anticipate approximately 400,000 tires may be required to meet the replacement tire needs of this program. The majority of these replacements will be serviced by Ford and Lincoln Mercury dealerships. Availability of the P275/60 R17 tires is limited. For this reason we are replacing the P275/60 R17 tires with P265/70 R17 tires. (See Attachment IV for PCM tire size calibration.)

Continental Tire North America Direct Ship Program

Continental Tire North America has increased production of replacement tires for the tires affected by the safety recall, and has dedicated the majority of their current Expedition and Navigator tire inventory for shipment to Ford and Lincoln dealers. Continental Tire North America is taking the following actions to increase tire availability for dealers:

- 74,000 tires available for shipment to Ford and Lincoln dealers.
- Establishment of a replacement tire order process through the Ford Tire Hotline.

Black Sidewall Tires

There will be fewer Continental black sidewall replacement tires than the original mix of black sidewall tires that were installed on new Lincoln Navigator vehicles. This may be an issue with some customers. If this occurs, then please call the Ford Tire Hotline to order black sidewall tires. Request for specific types of tires may not always be readily available. The Ford Tire Hotline will give requesting dealers an estimated timeline for replacement.

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DEALERSHIPS ELIGIBLE TO REPLACE TIRES UNDER THIS PROGRAM

All Ford and Lincoln Mercury dealers enrolled in the Ford Tire Program, including AtW dealers, are eligible to complete tire replacements under this program.

In addition, all Ford and Lincoln dealerships that are not currently enrolled in the AtW or Ford Tire Program are eligible to order replacement tires from the Ford Tire Hotline. First they must enroll in the program by calling the Ford Tire Hotline to establish billing and shipping information.

These dealerships can either use these tires for installation if the dealership has tire changing equipment or process reimbursement for sublet mounting and balancing charges.

ATTACHMENTS

Attachment I:	Administrative Information
Attachment II:	Labor Allowances and Parts Ordering Information
Attachment III:	Continental Tire North American Special Tire Return Procedures
Attachment IV:	Instructions: PCM Recalibration for P265/70 R17 Replacement Tires
Attachment V:	Continental Owner Notification Letter

CONTACTS

Claims Information: ……1-800-423-8851
Special Service Support Center (Dealer Only) Program Questions:……1-800-325-5621
Ford Tire Hotline (Dealer Only) Program Questions & Enrollment:……1-888-353-3251
Ford Tire Hotline (Dealer Only) Order Processing:…… ……1-866-588-6586
Continental / General Tire Customer Assistance Center: ……1-800-847-3349
Lincoln Customer Relationship Center (Customers only): ……1-800-521-4140
Ford Customer Relationship Center (Customers only)…….. 1-800-392-3673

Sincerely,

Frank M. Ligon

Frank M. Ligon
Director
Vehicle Service and Programs

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Continental Tire Recall 02B01-6
Certain 2000 and 2001 MY Expedition and Navigator 4x2 Vehicles
with Continental ContiTrac AW or General Grabber AW P275/60 R17 Tires

OASIS

OASIS will be activated for vehicles affected by this program. VIN's must be checked before submitting claims under 02B01. Affected customers should be serviced whether they have a letter or not.

Involved Unit Listing

For parts planning purposes only, On-line Involved Unit Listings will be available on QCDealer.Com. effective August 20, 2002.

Continental Tire Company will notify customers of the recall via first class mail within the next few weeks.

CLAIMS PREPARATION AND SUBMISSION

NOTE: Claims for Continental tires may be entered for payment beginning with repairs dated August 20, 2002.

Claims Information

Enter claims in ACES II for affected vehicles with P275/60R-17 tires using DWE with the following information:

- Refer to ACESII User Manual for claims preparation and submission information.
- Enter information on a **recall/ONP** claim type. DO NOT use a warranty claim type
- Program Code - 02B01.
- Enter the full part number of the replacement tire with the quantity of tires replaced. Tires will be reimbursed at AtW Dealer cost +25% (wheel weights & valve stems included).
- Use the appropriate labor operation(s) from Attachment II.
- Freight is not reimbursable under **02B01**. See Attachment II for tire ordering and shipment information.
- Tire disposal and applicable local waste tax will not be reimbursed. See the heading "Tire Recycling Process"
- **Enter each unique (complete 10-12 digit) DOT code of the "new" replacement tires on the diagnostic code entry screen in the "Powertrain" DTC fields. The "old" replaced tire DOT codes should be entered beginning with the Body DTC fields.**
- **Related Damage:** This is a Continental Tire North America tire safety recall. Ford has assigned a "B" program number merely for administrative purposes, therefore; related damage claims will not be accepted for payment under this program.
- **Refunds:** Refunds will not be accepted for payment under this program.

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SPECIAL HANDLING: To claim for "Special Handling", follow the instructions on page two of the dealer announcement dated 10/26/01.

Non-Ford Tire Program Dealers

Non-Ford Tire Program (including AtW) dealers may mount and balance tires or sublet the labor to mount and balance new tires under this program. Submit claims as shown below:

- Program Code - 02B01
- Enter the full part number of the replacement tire with the quantity of tires replaced. Tires will be reimbursed at AtW Dealer cost +25% (wheel weights & valve stems included).
- Enter OSL or the Ford published operation (Attachment II) as the labor operation. Enter OSL and the actual cost, not to exceed the Ford published operation amount at the dealer's approved warranty labor rate.

OWNER REFUND

Ford and Lincoln Mercury dealers, including AtW/Ford tire dealers, will not be involved in processing refunds for customers included in the Recall. Customers inquiring about a refund should be referred to the Continental Tire North America Customer Center 1-800-847-3349.

RENTAL CARS

Rental vehicles are not a provision of Continental's Recall. To expedite a set of tires for a customer seeking immediate replacement, please contact the Tire Hotline on 1-866-588-6586.

For Navigator vehicles only, see Special Handling Procedure.

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LABOR ALLOWANCES

Description	Labor Op.	Labor Time
Inspect-Vehicle Affected (Will not close recall. Customer must return at a later date due to unavailability of replacement tires.)	02B01E	0.2 hrs.
Replace 1 Tire (will close recall)	02B01B	0.4 hrs.
Replace 2 tires (will close recall)	02B01C	0.6 hrs
Replace 3 Tires (will close recall)	02B01D	0.8 hrs.
Replace 4 Tires (will close recall)	02B01F	1.0 hr.
Replace 5 Tires (will close recall)	02B01G	1.2 hrs.
Inspect Vehicle (will close recall)	02B01A	0.2 hrs.
Recalibrate PCM for P265/70 R17 Replacement Tires	02B01H*	0.3 hrs.
Special Handling:	Misc. Expense Code "SCHP"	See Special Handling

*** Add Labor Operation 02B01H to claim when installing P265/70 R17 replacement tires.**

NOTE: Front-end alignment is not included in this program.
NOTE: These labor operations will begin paying with claims submitted on August 20, 2002.
NOTE: If only one tire on a vehicle is affected, you will need to replace the opposing tire on the same axle. However, if one (1) front and one (1) rear tire is affected, you would not automatically replace all four (4) tires. Instead, you would replace only two (2) tires and install the new tires on the same axle.

PARTS REQUIREMENTS

The following tires are approved for use as replacement tires:

Tire Line	Description	Description	Part Number	Size
Continental	CONTITRAC TR	OWL	9002 15470210000	P265/70R17
Continental	CONTITRAC TR	BSW	9002 15470200000	P265/70R17
Continental	CONTITRAC SUV	OWL	9002 15470190000	P265/70R17
Continental	CONTITRAC SUV	BSW	9002 15470180000	P265/70R17
Continental	CONTITRAC AW	OWL	9002-15461820000	P275/60R17
General	GRABBER AW	OWL	9002-15461830000	P275/60R17
Continental	CONTITRAC AW	OWL	9002-15461821120	P275/60R17
Continental	CONTITRAC AW	OWL	9002-15461822120	P275/60R17
General	GRABBER AW	OWL	9002-15461831120	P275/60R17
General	GRABBER AW	OWL	9002-15461832120	P275/60R17

Additional approved replacement tires will be posted to QCDealer as they become available. See QCDealer.com under the Continental Tire Recall site.

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Tire Ordering

Ford and Lincoln Mercury dealerships should follow the following steps to secure approved replacement tires:

Tire Orders for P275/60 R17 Tires (Vehicles with 5.4L Engine and 3:31 Rear Axle Ratio)

Until further notice, P275/60 R17 replacement orders will only be accepted for affected vehicles with 5.4L engine and 3.31:1 rear axle ratio.

NOTE: The P265 tires must not be used on the 5.4L engine with 3.31 axle because this combination will produce inaccurate odometer/speedometer readings. Vehicles with 5.4L engine and 3.31 axles that have already received P265 replacement tires will be addressed when sufficient supplies of P275 tires are available.

For these vehicles, use the following ordering instructions:

1. Dealers must verify engine size (5.4L) and rear axle ratio (3.31:1). The rear axle ratio can be determined by the axle code on the Vehicle Certification Label. A vehicle with a 3.31:1 axle will have axle code 17 or H7 on the Vehicle Certification Label.
2. Complete the P275/60R17 Replacement Tire Order Form (QCDealer.com under the Continental Tire Recall site).
3. Fax or e-mail the completed order form to the Tire Hot Line at:

   Fax: 800-934-3179

   E-mail: tirehelp@auto-med.com

4. The Tire Hot Line will verify the vehicle and confirm the order with a Hot Line assigned order number. Confirmation will take place within 24 hours of the order receipt. Orders placed for incorrect vehicles will be identified as denied on the confirmation and will not be processed.
5. All tires, on accepted orders, will be shipped directly to the dealer.

All Other Tire Orders – (Non-P275/60R17 tires)

1. Contact local authorized tire distributors to order replacement tires using the normal tire program procedures. There will continue to be limited availability of replacement tires in some markets.
2. If tires are not available locally, dealers should complete the appropriate order form and fax it to the Tire Hot Line per the instructions below.
3. **Types of Orders**: The availability of tires is still limited. In order to accommodate as many dealers and customers as possible, please place orders in one of the following categories:
   - Emergency Orders – These should be orders for specific customers that are waiting for tires. Orders can be for up to 5 tires. Emergency orders will receive expedited processing and shipment.
   - Regular Orders – These should be larger orders for general tire replacement and will be shipped ground or LTL.

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4. **Ordering process:**
   - Complete the appropriate Replacement Tire Order Form (QCDealer.com under the Continental Tire Recall site)

     Note: All emergency orders must include the customer name and VIN
   - Fax or e-mail the completed order form to the Tire Hot Line:

     Fax: 800-934-3179

     E-mail: tirehelp@auto-med.com

   At this time, all tires are being shipped directly to the dealer location.

Assistance and Tracking

1. Contact the Ford Tire Hot Line Continental Recall Team at 1-866-588-6586 if additional assistance is needed.

2. Order tracking
   - The Hot Line will acknowledge receipt of all orders within 24 business hours (EST).
   - The Hot Line will place orders for the dealership. Dealers should not duplicate orders with the Ford Tire Hot Line and the supply points. Dealers should only order through the Ford Tire Hot Line if tires are not available locally.
   - The Ford Tire Hot Line will assign a unique order number and request that this order number be provided to the dealership on the shipping documents.

TIRE PRICE

For latest prices on replacement tires, refer to the most recent Ford Motor Company Tire Price List.

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CONTINENTAL TIRE NORTH AMERICA, INC. ("CTNA")
SPECIAL TIRE RETURN PROCEDURES

The following procedure is to be used for the pick-up and recycling of tires affected by Continental Tire Recall.

Claim Form:
Complete your Ford claim form for Program Code 02B01. The form must contain the following information:

- Your dealer name and address
- The consumer's name and address
- Complete DOT Code of each tire that is replaced
- The Ford part number of the replacement tire(s)
- The VIN.

RETURNING TIRES REMOVED FROM VEHICLES

- Call Lakin General Corp. ("LGC") at **1-800-96LAKIN** to make arrangements for the pick-up of all take-off tires covered under this recall program. CTNA is under contract with LGC to pick-up and recycle all take-off tires covered under this recall program. You will not need any individual agreements with LGC. You will be required to sign the load manifest and you will be given a copy for your records. If you are currently using LGC you must segregate other tires from the recall program tires prior to pick-up.

- **Tires should be kept as clean and dry as *reasonably* possible.**

- For all dealers (except those in Alaska, Hawaii, and Puerto Rico), tires that are removed from vehicles must immediately be made unusable by either cutting the bead with bolt cutters, drilling a one inch diameter hole in the sidewall, or cutting the tire completely in half. The DOT code should not be defaced or removed.

- Preferably, make arrangements to pick-up tires when 50 or more tires have been accumulated. However, if another frequency is more suitable for your dealership, LGC will work with you to determine the best timing for pick-up.

- For dealers in Alaska, Hawaii and Puerto Rico, you must:

    1. Cut out (through the tire body) the DOT serial number of the take-off tire(s).
    2. Place the cut out serial number(s) and a copy or your warranty claim form or repair order in an envelope and mail to:

        Continental Tire North America, Inc.
        1900 Continental Blvd.
        Charlotte, NC 28273

    3. Dispose take-off tire according to your local and state environmental regulations.

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CONTINENTAL TIRE NORTH AMERICA, INC. ("CTNA")
SPECIAL TIRE RETURN PROCEDURES

NEW INVENTORY RETURNS (UNSOLD AFFECTED TIRES)

- All new P275/60R17 Continental tires in your inventory (tires never mounted) with DOT serial numbers 109 to 4400 must be returned using a Continental Tire North America "Return Goods Authorization" form. Call the Ford Tire Hot Line, a representative will complete the form for you and fax your dealer location a copy. Place a copy of the fax in a Packing Slip and place on a tire within the return shipment. See Tire Shipping Instructions below. Your dealership will receive full credit for the returned tires.
- Except for dealers in Alaska, Hawaii and Puerto Rico, tires that are removed from inventory must immediately be made unusable by either cutting the bead with bolt cutters, drilling a one-inch diameter hole in the sidewall, or cutting the tire completely in half. The DOT code should not be defaced or removed.
- Dealers in Alaska, Hawaii and Puerto, Rico, should remove tires from inventory and immediately make them unusable by either cutting the bead with bolt cutters, drilling a one-inch diameter hole in the sidewall, or cutting the tire completely in half.

  Cut out (through the tire body) the DOT serial number of the take-off tire(s). Place the cut out serial number(s) and a copy of the authorization form in an envelope and mail to:

  Continental Tire North America, Inc.
  1900 Continental Blvd.
  Charlotte, NC 28273

  Dispose take-off tire according to your local and state environmental regulations. Your dealership will receive full credit for each of the returned tire DOT serial numbers.

NEW TIRE RETURN SHIPPING INSTRUCTIONS

- If you have 6 tires or less**,** ship tires UPS, charge to UPS Shipper Number A658F6**.**
- If you have 7 tires or more, ship tires via **Yellow Freight**, "Freight Collect" at 1-800-799-7876 (except for dealers in Alaska, Hawaii and Puerto Rico). On the Bill of Lading indicate shipment terms "Freight Collect". CTNA will be billed for the freight charges. Please remember to verify the tire count before signing Bill of Lading.

  Ship tires to: Continental Tire North America, Inc.
  1900 Continental Blvd.
  Charlotte, NC 28273

- To obtain the lowest freight cost, you must stipulate the following information on the Bill of Lading:
  - Scrap Rubber Tires - Freight Class 60
  - Actual Value Not Exceeding $1.00 per Pound

If you have questions about this procedure you may call our Consumer Relations toll-free number 1-800-847-3349 or Ford Tire Hotline for assistance.

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PCM RECALIBRATION FOR P265/70 R17 REPLACEMENT TIRES

Using WDS To Reset Tire Size

1. Identify vehicle by connecting WDS to the 16 pin DLC (diagnostic Link Connector) under the dash.
2. Select "16 Pin" from the touch screen on the WDS menu.
3. Then, select "All Except below".
4. Now touch the "check" icon at the bottom right of screen.
5. Follow on screen instructions until the vehicle description is displayed with no on screen questions.
6. Touch the icon displaying a toolbox in the upper left corner of the screen.
7. Select "module programming" from the list then touch the "check" button.
8. From the next menu displayed, select "Programmable Parameters".
9. Then select "Tire Size/Axle Ratio".
10. Touch the "check" icon.
11. Select from the displayed list the new tire size installed on the vehicle.
12. Touch the "check" icon. Follow remaining on screen instructions to complete the reset procedure.

NOTE: On vehicles with 3.31:1 rear axle ratio, WDS will return an Error code stating that tire size is not acceptable. Perform the following steps to correct the Error code:

1. Go to Programmable Parameters, Tire/Axle again.
2. Highlight "Tire size" and select "other".
3. Highlight Revs Per Mile and enter the following number:
    - 4.6L engine: Enter 678 (If 678 is not accepted by the PCM, enter 680)
    - 5.4L engine: Enter 688
4. Tire Size should now indicate the number you entered (678, 680 or 688).
5. Touch the check and follow remaining on-screen instructions.

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